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County: los-angeles

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Motion: DEFENDANT AND CROSS-COMPLAINANT LEXINGTON'S MOTION FOR SUMMARY JUDGMENT/ADJUDICATION; PLAINTIFFS TETRA TECH, INC. AND GLUMAC'S MOTION FOR SUMMARY ADJUDICATION

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Case Number: 24AHCV00241 Hearing Date: June 24, 2026 Dept: 3

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHEAST
DISTRICT

TETRA
TECH, INC., et al.,

Plaintiff(s),

vs.

LEXINGTON
INSURANCE COMPANY,

Defendant(s).

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CASE NO.: 24AHCV00241

[TENTATIVE]

ORDER RE:

DEFENDANT

AND CROSS-COMPLAINANT LEXINGTON'S MOTION FOR SUMMARY JUDGMENT/ADJUDICATION; PLAINTIFFS
TETRA TECH, INC. AND GLUMAC'S MOTION FOR SUMMARY ADJUDICATION

Dept.

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8:30

a.m.

June 24,
2026

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I.

INTRODUCTION

This action was filed on February 5, 2024, by plaintiffs Tetra Tech, Inc. (“Tetra Tech”) and GLUMAC (collectively, “Plaintiffs”). Plaintiffs assert three causes of action against defendant Lexington Insurance Company (“Lexington”) which arise from two insurance policies issued by Lexington: (1) a Project Specific – Protech Professional Liability Policy (Policy No. 031428371) (referred to as the “Project Specific Policy”) procured by non-party M. Arthur Gensler Jr. & Associates, Inc. (“Gensler”) and (2) a Contractor’s Operations and Professional Services Policy (Policy No. 028182375) with a policy period of October 1, 2017 to October 1, 2019 (the “Practice Policy”) issued to Tetra.

A. Factual Background

KPMG, LLP (“KPMG”) hired Gensler to provide architectural services with respect to the construction of its National Training Center in Orlando, Florida. (Compl., ¶ 7.) Gensler hired various subcontractors to serve as its design team for the Project (“Design Team”), including GLUMAC, who would perform the Mechanical, Electrical, and Plumbing (“MEP”)/Fire Protection (“FP”) design and engineering for the Project. (Compl., ¶¶ 8-9.) In or around May 2018, KPMG demanded reimbursement for increased construction costs from the Design Team, including GLUMAC, and alleged that various Cost Issues/Incidents (“CI”) resulted from errors and omissions in the design documents (the “Claim”).

In May 2021, KPMG filed a lawsuit against Gensler (“KPMG Matter”), asserting that Gensler’s Design Team, including GLUMAC, was responsible for some or all of the increased costs of construction. (Cross-Compl., ¶¶ 23-24.) The KPMG Matter settled in May 2024 on terms that required GLUMAC to contribute \$2 million (the “Settlement Payment”) towards a \$5 million global settlement. (Cross-Compl., ¶ 25.) Lexington and Plaintiffs then entered into a temporary funding agreement (“Interim Funding Agreement”) in June 2024 and agreed that Lexington, with a reservation of rights, would contribute \$1 million of the Settlement Payment. (Cross-Compl., ¶ 29.)

B. The Pleadings

Plaintiffs’ Complaint asserts three

causes of action. Their First Cause of Action for Declaratory Judgment seeks declaratory relief regarding the proper application of the Self-Insured Retention ("SIR") provisions in the Practice Policy with respect to the Claim. In Plaintiffs' Second and Third Causes of Action, respectively, Plaintiffs allege that Lexington breached both the Project Specific Policy and the Practice Policy (collectively, the "Policies"), and that Lexington acted in bad faith in handling the Claim.

On September 8, 2025, Lexington filed a Cross-Complaint. The Cross-Complaint demands declaratory relief as well as reimbursement/unjust enrichment for the \$1 million paid under the Interim Funding Agreement. Like Plaintiffs, Lexington seeks a declaratory judgment regarding the Practice Policy. It seeks a finding that the Practice Policy's SIR provisions consist of a \$500,000 SIR for each claim "followed by" a \$2,000,000 Annual Aggregate SIR, for a total of \$2,500,000 SIR which "is to be borne by the Insured [Plaintiffs] and is not to be insured." (Cross-Compl., ¶ 39(a).) Lexington also seeks a declaration that it has no obligation under the Practice Policy to make any payments in connection with the Claim. (Cross-Compl., ¶ 39(b).) Last, Lexington seeks a declaration that it is entitled to reimbursement of the \$1 million payment made towards Gensler's settlement with KPMG under the Interim Funding Agreement. (Cross-Compl., ¶ 39(c).)

C. The Parties' Cross-Motions for Summary Judgment/Adjudication

On March 5, 2026, Lexington filed this motion for summary judgment/adjudication on the Complaint and each of Plaintiffs' three causes of action, as well as its Cross-Complaint's two causes of action for declaratory relief and reimbursement/unjust enrichment. Lexington further moves for summary adjudication on two issues of duty concerning its obligations under both Policies.

Also on March 5, 2026, Plaintiffs filed a motion for summary adjudication of their First Cause of Action for Declaratory Judgment.

Opposition briefs were filed per the parties' stipulation on April 23, 2026.

Reply papers were filed on May 14,

2026.

On May 24, 2026, the Court heard oral argument and continued the hearing to June 24, 2026 to allow for supplemental briefing. The parties filed supplemental briefs on June 16, 2026.

II.

LEGAL

STANDARD

In reviewing a motion for summary judgment, courts must apply a three-step analysis: “(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent’s claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue.” (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.)

III.

REQUESTS

FOR JUDICIAL NOTICE

Plaintiffs’ and Lexington’s requests for judicial notice of documents in the Court’s record and the record of the Ninth Judicial Circuit, Orange County, Florida, are GRANTED. (Evid. Code, § 452, subd. (d).)

IV.

EVIDENTIARY

OBJECTIONS

A.

Plaintiffs’

Evidentiary Objections

Plaintiffs fail to submit evidentiary objections that comply with California Rules of Court, rule 3.1354. Rule 3.1354(b) dictates the format in which evidentiary objections must be submitted: “All written objections to evidence must be served and filed separately from the other papers in support of or in opposition to the motion. Objections on specific evidence may be referenced by the objection number in

the right column of a separate statement in opposition or reply to a motion, but the objections must not be restated or reargued in the separate statement.”

The rules requiring evidentiary objections to be filed separately and not repeated in the separate statement are to allow the trial court to consider each piece of evidence and all of the objections applicable to that piece of evidence separately. (*Hodjat v. State Farm Mutual Automobile Ins. Co.* (2012) 211 Cal.App.4th 1, 9.) “[I]nterposing objections into the separate statement defeats the goal of allowing the trial court to quickly and efficiently determine what particular piece of evidence is admitted and what is not. This is because the separate statement is focused on individual facts, which may be supported by the same or different pieces of evidence. A trial court would be forced to wade through all of the facts in order to rule on a particular piece of evidence.” (*Ibid.* [no abuse of discretion where court refused to grant opportunity to reformat objections]; see also *Santos v. Crenshaw Manufacturing, Inc.* (2020) 55 Cal.App.5th 39, 53.)

Here, Plaintiffs have interposed their objections into their separate statement and, in several instances, failed to specify the specific piece of evidence that is being objected to. (See, e.g., Objection to UMF Nos. 32, 37, 39-40, 43.) By doing so, Plaintiffs have eliminated the ability for the Court to quickly go through the separate statement and determine if there is any dispute of fact or inadmissible evidence. Accordingly, the Court declines to rule on Plaintiffs’ evidentiary objections.

B.

Lexington’s
Evidentiary Objections

The Court also declines to rule on Lexington’s “evidentiary objections.” Like Plaintiffs’ noncompliant objections, Lexington’s objections do not comply with CRC 3.1354(b). Instead, Lexington merely states whether it disputes the material facts Plaintiffs put forth in their motion for summary judgment and does not quote or set forth the objectionable statement or material.

V.

DISCUSSION

A.

Lexington’s

Motion for Summary Judgment/Adjudication

1.

Plaintiffs'

First Cause of Action

Policy interpretation is a matter of

law for the Court to decide. (Waller v. Truck Ins. Exch. (1995) 11

Cal.4th 1, 18.) "While insurance contracts have special features, they are

still contracts to which the ordinary rules of contractual interpretation

apply." (Id. [quoting Palmer v. Truck Ins. Exch. (1999) 21

Cal.4th 1109, 1115.) If policy language is "clear and explicit, it governs." (FosterGardner,

Inc. v. Nat'l Union Fire Ins. Co. of Pittsburgh, Pa. (1998) 18 Cal.4th 857,

868; see Civ. Code, § 1638.)

Lexington argues it is entitled to

summary judgment/adjudication against Plaintiffs' first cause of action for

declaratory judgment because the terms of the "Practice Policy" require that

Plaintiffs satisfy the Policy's \$2,500,000 SIR before Lexington's obligations

under the Policy are triggered. Lexington argues that based on the plain

language of the Practice Policy, Plaintiffs must satisfy the \$2,500,000

retention themselves, after the Project Specific Policy has been exhausted, not

by using payments made by other parties or Lexington under the Project Specific

Policy.

The Practice Policy applies as excess

insurance and provides for a \$2.5 million retention – made up of a \$500,000

"Each Claim" retention "followed by" a \$2 million Annual Aggregate retention. (Lexington's

Undisputed Material Fact ("UMF") Nos. 13, 17-20) The Practice Policy has a \$15

million limit that applies excess of the retention. (UMF Nos. 21-22.) The

Practice Policy states that "[t]he Self-Insured Retention is to be borne by the

Insured and is not to be insured" and Lexington has no liability for the Self-Insured

Retention "regardless of whether or not the Insured . . . is willing to pay its

Self-Insured Retention." (UMF Nos. 17-20.) Lexington argues that Plaintiffs

never exhausted the \$500,000 per-claim retention, nor the \$2 million Annual

Aggregate retention; therefore, Lexington's obligations under the Practice

Policy have not been triggered.

In opposition, Plaintiffs argue that the

Practice Policy's SIR was eroded when they, along with other insureds and

Lexington, made payments over \$2,500,000 under the Project Specific Policy. (Opp., p. 16.) Plaintiffs contend that the \$500,000 Each Claim SIR in the Practice Policy was satisfied when the Project Specific Policy was exhausted, and the \$2,000,000 Annual Aggregate SIR in the Practice Policy was satisfied by the over \$2 million payments made in settlement of the KPMG matter. Plaintiffs argue that the Practice Policy SIR may be eroded by payments from the insured as well as the co-insureds of the Project Specific Policy such as Gensler and other subcontractors on the Design Team, as well as payments made by Lexington.

Plaintiffs argue that the language requiring the SIR “to be borne by the Insured” is passive and not sufficiently explicit to preclude the application of payments from other parties. (Vons Companies, Inc. v. United States Fire Ins. Co. (2000) 78 Cal.App.4th 52, 62–64 (“Vons”).) Plaintiffs analogize the Practice Policy’s language, “to be borne by” to that of the language interpreted in Nationwide Mutual Insurance Company v. Certain Underwriters at Lloyd’s, London (N.D. Cal. 2016) 2016 WL 3648610 (“Nationwide”). In Nationwide, the district court held that passive language such as “is responsible for” or “obligated to pay” is not the same as requiring the insured to “make actual payment.” (Nationwide, 2016 WL 348610 at *2-4.)

The Court disagrees that the language in the Practice Policy is comparable to the language in the policy interpreted in Nationwide and finds that the retention language in Forecast Homes, Inc. v. Steadfast Ins. Co. (2010) 181 Cal.App.4th 1466 (“Forecast”), is more analogous. Stating that a SIR must “be borne by the Insured” is akin to requiring the insured to “make actual payment” (See Forecast, supra, 181 Cal.App.4th at p. 1476 [language limited additional insureds from satisfying SIR].) This intent is further evidenced by the additional language stating that the SIR “is not to be insured”, thereby precluding any payments made by Lexington under the Project Specific Policy from satisfying the Practice Policy’s SIR.

Although Plaintiffs claim that “California law expressly permits the satisfaction of a SIR under a primary policy to apply towards the SIR of an excess policy”, Plaintiffs cite to Montgomery Ward & Company, Inc. v. Imperial Cas. & Indem. Co. (2001) 81 Cal.App.4th 356 (“Montgomery Ward”), Deere & Co. v. Allstate Ins. Co. (2019) 32 Cal.App.5th 499 (“Deere”), which, as Lexington points out, are factually inapposite because they involve different types of insurance

policies and issues. (Opp., p. 14; Reply, p. 10.)

First, the Montgomery Ward court was applying SIR provisions in separate, successive year primary policies. (Montgomery Ward, *supra*, 81 Cal.App.4th at p. 366.) Second, the insurers in Deere sought to use a follow-form provision to argue that, because the primary policy had an SIR, the umbrella policy impliedly contained an SIR, in addition to the SIR applicable to the primary policy. (Deere, *supra*, 32 Cal. App. 5th at 515.) The excess policy in Deere did not refer to any additional SIR.

Plaintiffs also rely on Endorsement #034 to argue that payments made to satisfy the Project Specific Policy's SIR should be credited towards the Practice Policy's SIR. Endorsement #034 states that "[w]hen this [Practice] Policy is excess, any amounts paid by the Insured as a deductible or Self-Insured Retention under policies providing the Insured primary coverage to this this [Practice] Policy shall be credited against the Insured's Self-Insured Retention obligations under this this [Practice] Policy." However, as Lexington points out, Endorsement #034 is not applicable to the KPMG Matter because it was not effective until the following policy year. As the Forecast court held, modifying language that "further clarifies the question of who pays ... does not prove the prior version permitted satisfaction of the SIR" by others. (Forecast, *supra*, 181 Cal.App.4th at p. 1481.)

In their supplemental briefs, Plaintiffs cite to Endorsement #004 and claim that the \$2 million Annual Aggregate SIR does not have language requiring it to "be borne by the Insured," and can therefore be exhausted by payments made by Lexington, GLUMAC, Gensler, and other co-insureds. (Pltfs.' Supp. Br., p. 3.) Plaintiffs contend that Paragraph 2(D) of Endorsement #004, which contains the language limiting the payments that qualify for the \$500,000 Each Claim SIR because the heading states: "SELF INSURED RETENTION – EACH CLAIM OR LOSS." However, paragraph 2 of Endorsement #004 does not distinguish between an "Each Claim SIR" and an "Annual Aggregate SIR" when requiring the Insured to be responsible for the SIR. (COE p. 80.) Rather, paragraph 2 of Endorsement #004 provides that, "The Self-Insured Retention stated in the Declarations applies to each Claim," and "Claim", in bolded text, is defined as a "written demand ... alleging liability." Therefore, the limiting language applies to the SIR as a whole; only in paragraph 5 is there a distinction between a \$500,000 Each Claim SIR and a \$2 million Annual

Aggregate SIR. (COE pp. 80, 83.)

Accordingly, the Practice Policy's SIR provisions limit the individuals who are able to satisfy the retention and Plaintiffs cannot use payments made by other parties or Lexington under the Project Specific Policy to do so.

2.

Plaintiffs'

Second Cause of Action for Breach of Contract

Plaintiffs allege that Lexington breached the Policies by "failing to recognize the appropriate SIR obligations under both Policies and the covered losses that are due and payable to Plaintiffs." (Compl., ¶ 80.) Plaintiffs also allege that Lexington denied and refused to affirm or provide indemnity for all amounts that exceed the \$500,000 SIR in the Project Specific Policy, and unreasonably failed to settle KPMG's Claim within the limits of the Project Specific Policy when given the opportunity. (Compl., ¶¶ 83-85.)

Since the Court agrees with Lexington that the Practice Policy contains a \$500,000 per-claim retention along with a \$2,000,000 Annual Aggregate retention that must be paid by Plaintiffs, and not others, the undisputed facts show that Lexington did not breach the Practice Policy. Plaintiffs do not dispute that GLUMAC paid \$124,106 in defense costs for the KPMG matter and \$1 million as part of its Settlement Payment towards Gensler's settlement with KPMG. (UMF Nos. 57, 72; Response to UMF No. 69.) These payments do not amount to \$2.5 million. Therefore, Plaintiffs fail to show any triable issue of material fact regarding Lexington's breach of the Practice Policy.

The remaining issue with respect to Plaintiffs' Second Cause of Action is whether Lexington breached its contractual obligations under the Project Specific Policy by unreasonably failing to settle the KPMG Matter within the policy limits.

The undisputed facts show that KPMG made a written demand for \$5 million in February 2021 and that the letter did not mention anything about a "tiling" issue. (UMF Nos. 41-42.) There is also no dispute that KPMG later brought up a "tiling" issue involving marble tile

staining that it refused to release. (UMF No. 49; Response to UMF No. 49.) Gensler declined to settle without a full release and KPMG subsequently filed suit in October 2021, demanding \$13 million based on issues with work performed by Gensler, Glumac, and at least one other subcontractor. (UMF Nos. 50-54.)

Plaintiffs argue that if Lexington had accepted KPMG's offer, then there would have been an enforceable settlement agreement. (Response to UMF No. 49.) Plaintiffs claim that the proposed settlement was not finalized because Lexington made a "counteroffer" of \$4.5 million, which rejected the settlement offer of \$5 million for all claims. (Response to UMF No. 50.) However, Plaintiffs do not submit evidence contradicting Lexington's evidence that KPMG later raised issues regarding the marble tiling, nor do Plaintiffs show that Gensler would have, in fact, settled the matter without a full release of all claims. Therefore, Plaintiffs' conclusion that Lexington's conduct resulted in the collapse of settlement discussions is mere speculation. Because KPMG's demand for \$5 million in February 2021 was not a complete settlement or release, Lexington's refusal to settle was not unreasonable and Lexington did not breach its contractual obligations when it did not accept it. (Grayson v. Allstate Ins. Co. (2014 C.D. Cal.) 2014 WL 1813319, *7-10; Lehto v. Allstate Ins. Co. (1994) 31 Cal.App.4th 60, 72 [insurer breaches its duty to insureds by disbursing the policy proceeds to claimant without first obtaining release]; Shade Foods Inc. v. Innovative Prods. Sales & Marketing Inc. (2000) 78 Cal.App.4th 847, 887 [insurer may reject settlement offer that does not include a complete release of all of its insureds].) Therefore, Lexington has shown that Plaintiffs' breach of contract claim fails as a matter of law.

3.

Plaintiffs'

Third Cause of Action for Bad Faith

Plaintiffs allege that Lexington breached the implied duty of good faith and fair dealing in various ways, including violating various subdivisions of Insurance Code § 790.03 and the 1993 Department of Insurance Regulations, refusing to accept KPMG's settlement offer, requiring the satisfaction of a \$2 million Annual Aggregate SIR, and delaying the payment of benefits and failing to conduct a fair, thorough, prompt, and objective investigation of the claim.

Lexington argues that Plaintiffs' bad faith cause of action based on the Practice Policy's retention fails because,

as discussed above, Lexington did not owe Plaintiffs coverage under the Practice Policy until the SIR was satisfied, nor was its rejection of KPMG's settlement offer unreasonable.

In opposition, Plaintiffs argue that triable issues regarding their bad faith claim exist because Lexington violated Insurance Code § 790.03 by failing to conduct an investigation. (Opp., p. 19.) Plaintiffs also claim that Lexington misrepresented certain facts. Neither of these theories are availing because Plaintiffs fail to show that any benefits were delayed or wrongfully withheld as a result of such actions. (See *Jordan v. Allstate Ins. Co.* (2007) 148 Cal.App.4th 1062, 1078 [insurer's failure to investigate is not separately actionable if there is no coverage].) While a breach of an express provision of an insurance policy is not necessary for a bad faith claim, to establish breach of the implied covenant, benefits due under the policy must have been withheld; and the reason for withholding benefits must have been unreasonable or without proper cause. (*Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 1151.) The Court additionally notes that Plaintiffs' discovery responses only identify damages resulting from Lexington's refusal to settle, which eroded the Project Specific Policy and caused Plaintiffs to incur costs in settling with KPMG as well as its own defense costs. (COE, 36; Reply, p. 14; Defs.' Supp. Br., p. 9.) However, as discussed above, the failure to settle was not unreasonable or without good cause. Accordingly, no triable issues of material fact exist with respect to Plaintiffs' Third Cause of Action for bad faith.

4.

Lexington's

First Cause of Action for Declaratory Relief and Second Cause of Action for Reimbursement/Unjust Enrichment

Lexington prevails on the

Cross-Complaint's First Cause of Action for declaratory relief and Second Cause of Action for reimbursement/unjust enrichment because, as discussed above, the language of the Practice Policy does not require Lexington to provide coverage until the \$2.5 million SIR was satisfied and the undisputed facts show that Plaintiffs did not satisfy the Practice Policy's SIR. Since no coverage was owed under the Practice Policy, Lexington was not required to pay Plaintiffs' \$2 million settlement contribution for the KPMG Matter and is entitled to the \$1 million it advanced under the Interim Funding Agreement.

5.

Conclusion

Ultimately, Lexington's motion for summary judgment is GRANTED in its entirety.

B.

Plaintiffs'

Motion for Summary Adjudication

Since Lexington's motion for summary adjudication of Plaintiffs' First Cause of Action for declaratory judgment regarding the SIR provisions in the Practice Policy is GRANTED, Plaintiffs' motion for summary adjudication of that claim is DENIED.

VI.

CONCLUSION

Lexington's motion for summary judgment is GRANTED in its entirety with respect to its Cross-Complaint and Plaintiffs' Complaint. with respect to its Cross-Complaint.

Plaintiffs'

motion for summary adjudication is DENIED.

Lexington to
give notice.

Dated

this 24th

day of June 2026

William A.

Crowfoot

Judge of the Superior Court

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided

on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court may, at its discretion, adopt the tentative as the final order or place the motion off calendar.